

Table 6.4 (Continued)

Traditional Finance	
Problem	Uniswap Solution
<i>Lack of interoperability:</i> Ability to exchange assets on one exchange is not easily used within another financial application.	Any token swap needed for a DeFi application can utilize Uniswap as an embedded feature.
<i>Opacity:</i> Unknown if the exchange truly owns all user's entire balance.	Transparent liquidity levels in the platform and algorithmic pricing.

DERIVATIVES

Yield Protocol

Yield Protocol²⁵ proposes a derivative model for secured, zero-coupon bonds. Essentially, the protocol defines a *yToken* to be an ERC-20 (fungible) token that settles in some fixed quantity of a target asset at a specified date. The contract will specify that the tokens – which have the same expiry, target asset, collateral asset, and collateralization ratio – are fungible. They are secured by the collateral asset and have a required maintenance collateralization ratio similar to, for example, MakerDAO, and to other DeFi platforms we have already discussed. If the collateral's value dips below